CSIS KOREA DAILY BRIEF

Monday, November 2, 2026 No. 222 9 min read

TODAY AT A GLANCE

1. North Korea's Missile Administration confirmed a third cluster warhead test this year and plans military deployment by end of 2026.
2. President Lee presented an 820.9 trillion won 2027 budget to the National Assembly, the largest in South Korean history.
3. OpenAI CEO Sam Altman made an unannounced Seoul visit, meeting Samsung executives and SK Group Chairman Chey Tae-won.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
5,859.08	1,342.11	$108.52	39%	Oct 30	3.00%
+2.2%	+0.3%	−7.8%	+2 pts Oct 13-15	3 days ago	Oct 2026

01 TOP STORIES

Korea Herald / CNBC, ROK Economy

Lee submits record 820.9 trillion won budget with AI, defense, and OPCON acceleration at its core

President **Lee Jae-myung** presented an 820.9 trillion won ($610 billion) 2027 spending plan to the National Assembly on Monday, up 12.8% from 2026 and the largest annual budget in South Korean history.

CNBC, Technology

OpenAI CEO Altman makes unannounced Seoul visit, meets Samsung and SK Group on AI chip partnerships

Sam Altman, chief executive of OpenAI, visited South Korea over the weekend without prior announcement, meeting with approximately 50 Samsung executives in Yongin and separately having lunch with SK Group Chairman **Chey Tae-won**, with senior officials from SK Hynix and SK Telecom in attendance.

Samsung confirmed the Yongin meeting covered AI developments, potential business opportunities and AI's impact on corporate decision-making; SK Hynix declined to confirm the reported meeting. Altman's visit follows his October 2025 Seoul trip, when he announced Stargate partnerships with Samsung and SK Group covering high-bandwidth memory supplies and AI data center development.

02 OVERNIGHT

Yonhap News Agency, DPRK

Pyongyang condemns Iron Mace nuclear tabletop drill, vows faster nuclear buildup

Kim Jong-sik called Iron Mace 'the most hideous nuclear war rehearsal.'

Yonhap News Agency, US-Korea

ROK Defense Ministry establishes national Defense Drone Headquarters in Pocheon

Disestablishes three-year-old Drone Operations Command; combat roles shift to each service.

NK News, NK-Russia-China

North Korean coal ministry delegation tours Chinese smart-mining technology company

Over 20 officials from State Academy of Sciences visited Shaanxi Coal Meilianmei Smart Energy.

Korea Times, ROK Economy

Daewoo E&C asks government to mediate after KHNP ends Czech reactor contract talks

The 25 trillion won Dukovany project involves two APR1000 reactors.

Yonhap, ROK Economy

South Korea and India hold inaugural economic security dialogue in Seoul

First meeting follows April leaders' summit; agenda covers shipbuilding, AI, critical minerals.

Korea Times, Business

KAI delivers first two FA-50 light combat aircraft to Malaysia under 2023 contract

First shipment of 18-jet deal; aircraft arrived at Kuantan Air Base Sunday.

Reuters, US-Korea

South Korean army sergeant dies at frontline unit with external injuries

Reuters reports death at frontline unit; investigation underway.

03 | STAT OF THE DAY

$115.3B

South Korea's October 2026 exports, second-highest monthly total on record

Semiconductor exports rose 259.4% year-on-year to $56.44 billion, driving cumulative 2026 exports to $930 billion through October, putting the annual $1 trillion threshold within reach by November.

Dong-A Ilbo

04 | PYONGYANG WATCH

Kim Jong Un

No public appearance today, last seen 3 days ago

No KCNA watch flag. 6 provocations logged in the last 7 days.

SENIOR OFFICIALS

Kim Jong-sik, First Vice Department Director, Workers' Party of Korea Central Committee

Released a statement via KCNA on November 2 condemning the US-ROK Iron Mace nuclear tabletop exercise and vowing to continue bolstering North Korea's nuclear deterrent.

> **Bottom line:** State media led with the cluster warhead test confirmation and a fierce condemnation of US-ROK nuclear drills, while North Korean coal officials pursued Chinese smart-mining technology, no Kim appearance reported today.

05 ROK GOVERNMENT

President and ministries, Monday, November 2, 2026

PERSONNEL CHANGES

Jung Yeon-guk APPOINTED
Blue House Spokesperson
JTBC reports Jung Yeon-guk, a former MBC journalist, has been named as the new Blue House (presidential office) spokesperson, the second appointment of a current journalist to a presidential communications post.

NATIONAL ASSEMBLY

Opposition PPP lawmakers heckle Lee during budget speech, demanding resumption of criminal trials

National Assembly Plenary

People Power Party lawmakers shouted 'resume the trial' during President Lee's budget address; Lee responded 'stop the interference' on the podium. The incident reflects ongoing political friction over Lee's legal proceedings.

06 US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, leaving no baseline reciprocal tariff in force. Section 301 investigations launched March 11, 2026, against South Korea and 15 other trading partners are now the primary vehicle for any new tariff action.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

$150B shipbuilding (MASGA), $200B strategic sectors, $100B energy purchases; no official drawdown figure reported to date.

07 NORTHEAST ASIA WATCH

US Embassy Seoul on X

US, South Korea and Japan sign Arctic cooperation MOU, launch Trilateral Arctic-Pacific Partnership

Secretary of State **Marco Rubio** signed a memorandum of understanding with Japanese Foreign Minister Motegi and Foreign Minister Cho Hyun launching the Trilateral Arctic-Pacific Partnership (TAPP) to pursue maritime cooperation and economic partnerships in the Pacific Arctic region. The US Embassy Seoul described Pacific Arctic security as a shared US-Korea-Japan priority.

JAPAN Forward

Japan, US and South Korea eye Indonesia for small modular reactor deployment

Japan, the United States and South Korea are reportedly exploring joint small modular reactor (SMR) deployment in Indonesia, per JAPAN Forward, a move that would leverage South Korean nuclear export expertise and US technology in a key Southeast Asian market.

08 KOREA AND THE WORLD

Anadolu Ajans, Europe, Nuclear & energy

Seoul launches emergency measures to keep $17.5B Czech nuclear project on track

South Korea activated emergency government measures after Korea Hydro and Nuclear Power (KHNP) ended contract negotiations with consortium lead Daewoo Engineering and Construction over the Dukovany project involving two APR1000 reactors. Daewoo E&C has asked the Ministry of Trade, Industry and Resources to mediate and resume talks.

UPI, Ukraine, Diplomacy

Ukraine denies considering diplomatic break with South Korea over North Korean POW transfer dispute

Ukraine's foreign ministry denied reports it was weighing a diplomatic rupture with Seoul, as the two countries continue to clash over South Korea's request to transfer captured North Korean soldiers. NHK separately reported South Korea and Ukraine in active dispute over the POW transfer.

09 BUSINESS & ECONOMY

Dong-A Ilbo

October exports hit $115.3B, second-highest ever, but domestic consumption remains weak

Semiconductor shipments surged 259.4% year-on-year to $56.44 billion in October, driving a $42.5 billion trade surplus; cumulative 2026 exports reached $930 billion through October, leaving $70 billion to the $1 trillion annual milestone. Large discount stores have posted 10 consecutive quarters of declining sales, the longest downturn on record.

Maeil Gyeongje TV

KOSPI rebounds 2.24% to 5,859 after Intel shock, institutional buying offsets foreign selling

The KOSPI rose 128.34 points on institutional net purchases of 1.2329 trillion won; foreign investors sold 373.1 billion won net. Samsung Electronics gained 1.78% and SK Hynix rose 3.81%.

Samsung Electronics SK Hynix

Maeil Gyeongje TV

SK Square to return at least 4.3 trillion won to shareholders from SK Hynix dividend income

Final details will be set after the 2026 financial statements are confirmed.

SK Square SK Hynix

Maeil Gyeongje TV

Samsung Electronics holds global smartphone shipment lead in Q3 with 22.7% share despite 5% volume drop

Samsung shipped 57.8 million units in Q3 2026, down 5% year-on-year, but outperformed a 20% global market decline; Galaxy A-series budget and mid-range models led share gains.

Samsung Electronics

Maeil Gyeongje TV

Financial Services Commission convenes emergency meeting with domestic crypto exchanges after Binance hack

The Financial Services Commission (FSC) summoned Upbit, Bithumb, Coinone and other domestic exchanges on November 2 to review security systems and cold wallet ratios following the $6.3 billion Binance hack attributed to North Korea. The FSC instructed exchanges to increase cold wallet holdings above the current 80% legal minimum and report any abnormal outflows through the Digital Asset Exchange Alliance.

Upbit Bithumb Coinone

10 UPCOMING

NOV 3

Lee-Erdogan bilateral summit, Seoul

Turkish President Erdogan arrives November 2-4 for a state visit; leaders hold a summit November 3 covering nuclear energy, defense, and biotechnology cooperation, followed by MOU signing and state dinner.

NOV 5

Lee-Ramos-Horta bilateral summit, Seoul

Timor-Leste President Jose Ramos-Horta visits Seoul November 5-7; Lee will host talks on November 6, the first visit by a Timor-Leste leader since bilateral relations were formed in 2002.

11 ANALYSIS

OFFICIALS ON X

Ministry of National Defense Spokesperson (@MNDSpokesperson), Primary, November 2

“The 2027 defense budget submitted to the National Assembly is 73.3 trillion won, an 8.2% increase from the previous year. The budget focuses on strengthening self-reliant defense capabilities and transitioning the military from a personnel-centered to an advanced-technology-centered force, including accelerating OPCON transfer core capabilities and KF-21 and nuclear-powered submarine procurement.”

The MND post confirms the 8.2% defense spending increase cited in Lee's budget speech, with nuclear-powered submarines and OPCON transfer listed as priority line items. **View on X**

President Lee Jae-myung (@Jaemyung_Lee), November 2

“Today I presented the 2027 budget to the National Assembly. Growth alone is not enough. Its results must translate into opportunity and change in the life of each citizen. We will create opportunities for youth to take on challenges, give small business owners the strength to rise again, and build new growth engines for regions. We will pursue balanced development where both the metropolitan area and the regions prosper together.”

Lee's post accompanies his National Assembly budget address; the 820.9 trillion won proposal faces a legal passage deadline of December 2. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

STATEMENTS

Lee Jae-myung

“Not the growth of a few, but a great transformation to 'growth for all' in which every region and every citizen equally enjoys the opportunities and outcomes of growth.”

Lee used the word 'growth' 36 times in the address, per Maeil Gyeongje TV, framing the 820.9 trillion won budget explicitly around redistribution alongside investment; the budget faces a December 2 legal passage deadline. **Source**

COMMENTARY

How suspected North Korean hackers swiped billions in crypto in only minutes. The Washington Post investigates the technical mechanics of the $6.3 billion Binance hack attributed by the FBI to North Korea, describing how attackers accessed hot wallets via compromised employee laptops and unauthorized transaction approval systems. The operation's scale exceeds North Korea's annual export revenue, raising acute questions about sanctions efficacy. (The Washington Post)

Beyond Parallel. Beyond Parallel presents new imagery analysis of Yongbyon and the Yelabuga Special Economic Zone, alongside Victor Cha's argument for a 'cold peace' framework to manage the North Korean threat and analysis of Kim Jong Un's potential interest in renewed summits with Trump. (Beyond Parallel)

Transshipment Crackdowns Won't Fix the U.S.-China Trade Imbalance. The analysis examines the White House's condemnation of Chinese transshipment practices and argues that despite recent U.S.-China dialogue, the fragile détente has not resolved structural trade tensions, with the report signaling continued dissatisfaction with both countries' roles in global trade. (CSIS Center for Strategic and International Studies)

12 | PUBLIC SENTIMENT

Lee approval

39%

+2 pts vs Oct 6-8
Gallup Korea
October 13-15, 2026

Trend: Down from 42% on Aug 25-27, across 6 readings.

Ruling	Opposition	Independents
Democratic	People Power	
36%	**27%**	**29%**

Gallup Korea publishes weekly; this reading is 2 weeks old (October 13-15, 2026).

13 | THE WIRE

DPRK

ROK Unification Ministry

Seoul formally recognizes three additional post-war abductees, raises official count to 519

A review board recognized three crew members of the vessel Daeyoung-ho, abducted near Yeonpyeong Island on November 24, 1973; approximately 81 million won in consolation payments approved for confirmed family members.

DIPLOMACY

Korea.net

Turkish President Erdogan arrives Nov 2 for state visit; Lee to discuss nuclear energy and defense cooperation

Bilateral summit scheduled for November 3; Erdogan said South Korea could partner in Turkey's Sinop nuclear project, per Reuters. The visit is Erdogan's first to Seoul since 2018 and precedes the 70th anniversary of bilateral relations next year.

MULTILATERAL

Korea.net

UN adopts Korea-Netherlands AI military resolution for third straight year, now with 171 co-sponsors

The resolution, first adopted in 2024, adds a structured Geneva dialogue on responsible military AI for 2027 and 2028.

ROK ECONOMY

Reuters

South Korea manufacturing PMI growth slows to 8-month low in October

Factory activity continued to expand but at the weakest pace since February, per the Reuters-cited PMI report, contrasting with record October export figures.

TECHNOLOGY

Korea Times

South Korea Supreme Court survey: 80% of judges have encountered AI-hallucinated fake legal precedents

A survey of 360 judges conducted October 6-16 found 80.7% had seen nonexistent precedents cited in civil, family and administrative cases. The finding comes as Lee's 2027 budget allocates heavily for AI development and education.

TRILATERAL

Nikkei Asia

EU accelerates subsea cable expansion to Japan and South Korea

The European Union is stepping up undersea cable infrastructure connecting to Japan and South Korea, per Nikkei Asia, as part of digital connectivity and supply chain resilience efforts.

14 | SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

No new reporting on any of the 11 monitored sites since the last issue.

That's today's brief. No. 222

TOMORROW

Lee-Erdogan bilateral summit, Seoul

Feedback and tips are welcome. Write to **alim@csis.org**.

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